

complaint

Miss T is unhappy with Towergate Underwriting Group Limited in relation to the Unoccupied Property Legal Expenses Insurance ("LEI") policy that they sold to her.

background

The detailed background to this complaint is well known to both parties. So, I'll only provide a brief summary here.

In May 2018 Miss T purchased an unoccupied property insurance policy through Towergate. As an add-on to the policy she also purchased insurance against certain legal expenses (LEI). Towergate say that whilst they made a recommendation for the main policy, the add-on was sold on a non-advised basis and the cost (for the LEI) prior to insurance premium tax was £19.53 for six months cover.

Later in 2018 Miss T wanted to make a claim. The claim was declined by the insurer on the basis of the policy not covering the legal action she wished to take.

It came to light that her policy schedule had shown that the LEI provided cover for 'consumer infringement'. This was an error that Towergate accept shouldn't have happened. The insurer behind the cover had changed the title of that section of cover to 'property infringement' and Towergate hadn't updated the schedule. But Towergate pointed out that the cover was identical – it was only the heading that had changed.

Miss T complained. She was unhappy that she was given incorrect information. She says she wouldn't have purchased the policy had she known it didn't cover her in the way she thought. She also says Towergate gave poor customer service by failing to send out correct policy information on numerous occasions.

Towergate accepted the policy schedule was incorrect and apologised. But they didn't think the error on the schedule impacted on the claim being declined. Being unhappy with this response, Miss T referred her complaint to our service.

One of our investigators thought it should be upheld in part. She didn't agree the policy had been mis-sold. But she did think Towergate had caused some confusion and inconvenience and that £50 should be paid to compensate for this. Towergate accepted that outcome.

Miss T didn't accept our investigator's view and so has asked for an ombudsman to review her complaint. Before issuing this decision, I shared some additional reasoning with Miss T and gave an opportunity for her to make further comments. Now I've done that, I can go ahead with my decision.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. Having done so, I still agree with our investigator's outcome. I know this will be disappointing for Miss T, so let me explain why.

I'm satisfied that the legal expenses insurance add-on that Towergate sold to Miss T, was sold on a non-advised basis. This means it was Miss T's responsibility to make sure the insurance was suitable for her needs. But Towergate still needed to provide information in a clear, fair and not-misleading way to enable Miss T to make an informed decision.

I've listened to the call during which Miss T bought the insurance. The call handler provided an overview of the LEI cover provided and said that full details can be found in the policy documents. Beyond this Towergate wrote to Miss T on 16 May 2018 after she'd bought the insurance. In relation to the LEI cover their letter said:

"We're pleased to be able to offer you the following optional additional cover(s) to supplement your main policy. We have not made a recommendation in respect of these optional additional cover(s); instead we have provided you with information to enable you to decide whether it is suitable for your needs. For more information about the full terms, exclusion and conditions applicable we recommend that you read the enclosed policy wording(s) and policy summary(ies)."

Miss T says the policy wording wasn't included. Towergate say it is included as standard. But even if it wasn't, I think the above makes clear that it should have been. So if it wasn't enclosed, Miss T had an opportunity to request this and to check the policy was suitable for her against the policy wording, which is where the full details of cover and any exclusions would be found.

Miss T says that "enclosed policy wording(s) and policy summary(ies)" is too generic and she didn't know information was missing, otherwise she'd have requested it. I've thought about this, but in the circumstances of the sale of this policy; It was for Miss T to satisfy herself that the policy she bought, included the cover she needed. So if this wasn't apparent from the information she received she ought to have raised this with Towergate. Particularly as the first page of the letter invites her to get in touch if she has any questions about her policy / cover.

Also within the information sent on 16 May 2018 was the policy schedule. It's accepted that this incorrectly shows a head of cover for 'consumer infringement' when it should have said 'property infringement'. But as I've touched on above, a policy schedule will only ever provide a brief overview of the cover. The policy wording is where the full details are typically found. And having reviewed the underlying policy wordings, the cover under either of those headings was identical. I don't think Towergate's error here impacted on the insurer's decision in relation to the claim. This is because it was merely the heading that was different, not the actual terms of the insurance the policy provided.

So overall, I don't think Towergate failed to provide Miss T with sufficient information in a suitable format to make an informed choice about her LEI insurance. So, I don't agree that the policy was mis-sold.

But I accept that the incorrect information on the policy schedule caused some confusion and represented poor service. I also accept what Miss T says with regard to having issues in receiving a duplicate copy of the policy wording from Towergate. But I think the £50 our investigator recommended is fair compensation in these circumstances. And I don't think Towergate need to do more to resolve this complaint.

my final decision

For the reasons outlined above, my final decision is that I uphold this complaint in part.

Unless they've already done so, Towergate Underwriting Group Limited must pay Miss T £50 compensation for the material trouble and upset caused.

Under the rules of the Financial Ombudsman Service, I'm required to Miss T to accept or reject my decision before 19 April 2020.

Richard Annandale
ombudsman